PRIORITY 3 OF 33 · SCORE 4.2

Small Business Administration (baseline)

SBA is where the method is proven, so it stays running as the reference case for every other agency. The next step is to widen it from pandemic programs to the programs SBA runs every year: 7(a) and 504 loans, disaster loans and contracting certifications.

INVESTIGATIONS WE PROPOSE

- **SBA-1** Pandemic fraud signals applied to 7(a) and 504. **First prototype.** One-page pitch available.
- **SBA-2** Lender and agent concentration of bad loans (shared with FDIC).
- **SBA-3** Pandemic fraud owners now holding loans or 8(a), HUBZone or VetCert status.

EXPOSURE

- Shuttered Venue Operators Grant: $10.1B improper (68.9%), the highest rate of any program. PPP loan forgiveness: 19.2%. PPP guaranty purchases: 13.3%. (GAO, FY2025)
- Much of the pandemic loss is now recovery work. Live programs carry less dollar exposure but are where prevention pays.

PUBLIC DATA WE USE

- PPP and EIDL loan-level data, 7(a) and 504 loan-level FOIA data.
- SAM.gov, FPDS and SBA certification lists (8(a), HUBZone, WOSB, VetCert).
- SBA OIG reports and DOJ press releases.

HOW WE DETECT IT

1. Shared identifiers and addresses across borrowers (what the current SBA work does).
2. Certified small businesses acting as pass-throughs for large firms; this feeds the DoD and VA briefs.
3. Lender and agent concentration: a few lenders or agents behind many bad loans.

FIRST PROTOTYPE

SCORECARD

Fraud savings identified
Pending

Phase 1 window
Weeks 3–6
Nov 16, 2026 to Dec 11, 2026

Workstream
Wave 1 and Wave 2 deep dives

FY2026 outlays
$15.0B · budget rank 22

Leads go to
SBA OIG, Office of Credit Risk Mgmt

WHY PRIORITY 3

Exposure	●●●○○
Public data	●●●●●
SBA method fit	●●●●●
Actionability	●●●●○

OUR REVIEW, DELIVERED WEEK 6

Updated SBA results across all loan programs; lender risk table (shared with FDIC); playbook v1.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF SBA

Phase 2 data: Loan applications, lender files, bank account and device data.

What it enables: Application-level identity fraud, lender and agent rings.

Access route: SBA OIG (existing work).

LIMITS

Pandemic program data are fixed in time, and loan-level data omit personal identifiers.

SOURCES

- GAO-26-108694: FY2025 improper payments
- CRFB: FY2025 improper payments by program

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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